Polymesh Finance & Economics Steering Committee (FESC) Charter

Schedule A - Polymesh Finance & Economics Steering Committee Charter (draft)

- **Document Title**: Polymesh Finance & Economics Steering Committee (FESC) Charter
- **Adopted By**: The Board of directors (the "**Board**") of Polymesh Labs Ltd. (the "**Company**")
- **Effective Date**: 01 February 2026
- **Version**: 1.0

1. Purpose and mission

The Polymesh Finance & Economics Steering Committee (FESC) exists to provide transparent, auditable governance support for Polymesh financial, commercial, and monetary matters, including treasury management, staking economics, and tokenomics, in alignment with Board oversight and reserved rights.

The FESC's mission is to:

- strengthen Polymesh network sustainability by stewarding sound economic and treasury policy;
- provide structured review and recommendations on tokenomics, staking incentives, and network-held value;
- promote transparency and predictable decision-making, with clear records and community visibility (subject to security and commercial confidentiality); and
- support a healthy ecosystem by balancing long-term value creation with near-term operational needs.

2. Scope

This Charter applies to governance topics including:

- treasury policy, reporting, and high-level custody/control approaches (policy-level, not operational key handling);

- tokenomics and economic parameters (transaction fee policy, burn mechanics, treasury allocation mechanisms, inflation/deflation parameters where applicable);
- staking economics and validator incentive design principles;
- economic modelling, risk assessment, and impact analysis for changes to economic parameters; and
- policy-level review of material commercial proposals or spend programs that are reserved to the Board.

This Charter does not govern:

- day-to-day treasury operations, key management, or execution of transactions (except as policy may define required controls);
- software engineering decisions, protocol implementation details, or release governance (see the Technical Steering Committee);
- personnel management and HR matters;
- procurement execution and vendor selection (beyond policy-level review of material proposals); or
- representations to regulators or market participants on behalf of the Company.

3. Authority and responsibilities

The FESC is the primary body responsible for review and recommendation-making in its scope, subject to Board reserved rights.

Treasury and network-held value

- develop and maintain treasury policy principles (objectives, risk tolerance, diversification, liquidity horizons);
- define governance processes for treasury oversight (reporting cadence, approvals, segregation of duties at a policy level);
- review proposals for the use/allocation of network-held value and evaluate sustainability implications; and
- recommend reporting standards and transparency practices for treasury reporting (subject to security and legal constraints).

Tokenomics and staking economics

- maintain a view of token supply dynamics, staking participation trends, and incentive alignment goals;
- review and recommend changes to economic parameters that impact network sustainability and stakeholder incentives (subject to Board and/or governance approvals as applicable);
- review incentives for validators and other network participants and recommend adjustments consistent with network objectives; and
- support periodic post-change reviews to evaluate whether economic outcomes match expectations.

4. Explicit limitations and reserved matters

The FESC is not authorized to:

- bind Polymesh Labs Ltd commercially;
- make final decisions on treasury deployments, asset sales, loans, or purchases (beyond making recommendations), unless expressly delegated by the Board to the FESC by a resolution of the Board passed in accordance with the Company's Article of Association (a "**Board Resolution**") with clear bounds;
- implement protocol changes or parameter changes directly (implementation is handled by engineering governance and operations under Board-approved direction);
- take custody of, or directly control, treasury private keys, multisig signers, or operational wallets (unless explicitly authorized and governed by separate Board-approved custody policy);
- engage in day-to-day spending operations or payments (except as policy may define required controls);
- select vendors or execute procurement (except policy-level review of material proposals); or
- speak for the company in external legal/regulatory contexts.

Reserved matters (require Board approval)

- adoption or material amendment of treasury policy;
- material treasury allocations, deployments, asset sales/purchases, or investment mandates;

- approval of material commercial commitments or spend programs affecting treasury;
- establishment or modification of any custody, signing, or wallet-control structure;
- appointment/removal of the FESC Chair (unless delegated); and
- adoption or amendment of this Charter.

5. Composition and roles

Composition

The FESC shall consist of a Chair and at least two additional members.

Roles

- **Chair**: sets agenda, ensures orderly deliberation, ensures records are maintained, liaises with the Board, and resolves tie-breaks where applicable.
- **Members**: review proposals, participate in discussions, vote on recommendations, and act in accordance with the Code of Conduct and conflicts policy.

The Board may appoint observers (non-voting) and may request participation from finance, legal, security, or engineering representatives as needed.

6. Membership, terms, appointment, and removal

Appointment and removal

- Members are appointed by Board Resolution (or by a Board-delegated process explicitly documented in a Board Resolution).
- The Board may remove any member at any time, with or without cause, by Board Resolution.

Terms

- Members typically serve 12-month terms, renewable.
- Vacancies may be filled by Board appointment.

7. Meetings, quorum, voting, and attendance

Meetings

- The FESC meets as needed, and at least monthly, with minutes published.
- Meetings may be held via video conference or other electronic means.

Quorum

- A meeting is quorate if a simple majority of seated members are present (and in any event no fewer than three (3) seated members).
- Quorum is a simple majority of voting members, including the Chair (or a Board-approved acting Chair).

Voting

- Decisions are made by simple majority of members present, unless the Charter specifies a higher threshold (e.g., 2/3 for Charter amendments or for recommendations affecting core tokenomics parameters).
- The Chair may cast a tie-break vote where required to reach a decision.

Attendance and participation

- Members are expected to attend meetings and review proposals in a timely manner.
- The Chair may invite subject-matter experts to attend specific agenda items as non-voting participants.
- Meetings may be open to community observers, however:
    - observers may attend and listen but may not vote and are not committee members;
    - observer participation is at the discretion of the Chair (invited or upon polite request);
    - the Chair may hold closed sessions for sensitive matters (e.g., security of treasury controls, vendor commercials, non-public financial details).

8. Economic proposal process (EP workflow)

The FESC shall maintain a documented "Economic Proposal" (EP) workflow to evaluate and recommend material treasury, tokenomics, or staking-related changes.

The EP workflow should include:

- a written proposal template (problem statement, objectives, assumptions, scope, and parameters);
- impact analysis (economic modelling, security considerations, ecosystem effects, and risks);
- a defined community feedback period (e.g., 7–14 days) for material proposals;
- review criteria and decision outcomes (recommend, do not recommend, request revisions, defer); and
- a clear record of the FESC's reasoning, vote result, and any minority opinions (where appropriate).

All material recommendations from the FESC must be documented and submitted to the Board for consideration and approval (as applicable).

9. Transparency, records, and confidentiality exceptions

Transparency

The FESC will operate transparently by default, including publishing:

- agendas (where practical);
- meeting minutes (with redactions where necessary);
- EPs and supporting analysis; and
- final recommendations and vote outcomes.

Records

- Minutes and key decisions will be recorded and stored in a publicly accessible repository or other auditable record system, subject to redactions.
- The FESC may maintain private annexes for sensitive security, legal, or commercially confidential information.

- The FESC may maintain a public recommendation log / register of economic policy proposals.

Confidentiality exceptions

Certain information may be withheld or redacted where disclosure would:

- compromise security (e.g., key management details, attack surface);
- breach legal obligations or confidentiality commitments;
- expose sensitive commercial negotiation positions; or
- create a material risk to the project or stakeholders.

The Chair is responsible for ensuring appropriate redactions and for documenting (at a high level) the basis for any confidentiality exception.

10. Board interface and approvals

The FESC provides recommendations to the Board of the Company.

- The Chair (or delegate) will provide regular updates to the Board (at least quarterly).
- Material recommendations must be submitted as a written memo or EP package.
- The Board may request revisions, additional analysis, or community consultation before considering a recommendation.

Board approval is required for reserved matters as set out in this Charter and in any applicable Board resolution(s).

[The FESC will submit written recommendations to the Board for:

- any proposed changes to tokenomics parameters (including fee burn and treasury allocation);
- any proposed changes to staking reward design or validator incentives; and
- any proposed treasury policy changes.

The Board will consider and approve (or reject) recommendations via Board resolution and will direct implementation accordingly.

The Company's directors are authorized to:

- create FESC communication channels (governance repo/folder, mailing list, calendar);
- publish the FESC Charter and initial membership list;
- establish an "Economic Proposal" workflow (e.g., EIPs / TIPs / Polymesh Improvement Proposals for tokenomics), including templates and decision recording.

11. Amendments to this Charter

Amendments to this Charter require:

- a 2/3 vote of the FESC; and
- Board approval.

The Board may amend this Charter at any time by Board resolution.

12. Code of conduct and conflicts of interest

All FESC members and participants are expected to follow the Polymesh Project's Code of Conduct (as published in project repositories or referenced policies).

FESC members should:

- act in good faith in the interests of the Polymesh Project;
- disclose material conflicts of interest where relevant; and
- recuse themselves from decisions where a conflict materially impairs impartiality (at the Chair's discretion).

13. Effective date

This Charter takes effect on the Effective Date set out above, upon adoption by the Board.